Sheet and the Profit and Loss Account. It is an examination of accounts to ascertain whether the Balance Sheet and the Profit and Loss Account give a true and fair view of financial position and Profit or Loss of the business. For this purpose, all the business transactions and the manner in which these are recorded must be examined.

Auditing is the intelligent and critical test of accuracy, adequacy and dependability of accounting data and accounting statements. It is concerned with examination of accounting data to determine the extent of accuracy of Profit and Loss account and the Balance sheet prepared from such data.

## 1.3 Definition of Auditing

- The **Institute of Chartered Accountants of India** describes audit as "the independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such examination is conducted with a view to expressing an opinion there on".

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- **Spicer and Pegler** defines auditing as, "such an examination of books of accounts and vouchers of a business as will enable the auditor to satisfy the Balance Sheet is properly drawn up so as to give a true and fair view of the state of affairs of the business, whether the Profit and Loss account gives a true and fair view of the profit and loss for the financial period, according to the best of his information and explanation given to him as shown by the books, and if not, in what respect he is not satisfied."
- In the words of **L.R.Dicksee**, "Auditing is an examination of accounting records undertaken with a view to establishing whether they correctly and completely reflect the transaction to which they purport to relate".
- **Montgomery** defines the term as "Auditing is a systematic examination of books and records of a business or other organization in order to ascertain or verify and to report upon the facts regarding its financial operations and the result thereof".

**The Institute of Chartered Accountants of India (ICAI) is regulating the accountancy profession in India established under the Chartered Accountants Act, 1949 passed by the Parliament of India.**




## 1.4 Features (or) Characteristics of Auditing

1. It is a systematic and independent examination of financial information of a concern.
2. Its main motive is to detect errors and frauds in the books of accounts and financial statement.
3. It is conducted either by independent or body of persons who possess in depth knowledge and extensive practical training.
4. It ensures the correctness of Trading, Profit and Loss Account and Balance Sheet whether it reflects a true and fair view of the state of affairs of the business.
5. It further ensures that the financial statements follow the accounting standards.



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